

The Premium Payments Compounder: Credit Normalization Is Unpriced

Equity Research Note · Consumer Finance — Diversified Payments · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
REDUCE	\$250	\$302.78 Oct 2, 2026	-17.4%	Medium

American Express is the world's largest closed-loop payments network and the purest listed exposure to affluent-consumer spending: 52% of revenue comes from the merchant discount on spend (not lending), 14% from annual card fees — up 18% in 2025, the 32nd straight year of double-digit card-fee growth — and only 24% from net interest income. The franchise earns a 34% ROE with best-in-class credit (2.0% net write-offs, 1.3% 30-day delinquency) because it underwrites the spend, not the loan book. None of that is in dispute — and none of it is on sale: we are **downgrading to REDUCE with a \$250 target** because a hardened rebuild of the valuation finds the old \$335 rested on a bear case that **wasn't a recession** (6% EPS CAGR, zero down years — while 2020 showed EPS can fall 53% in one year), a base case that carried **peak-cycle 34% ROE to year 10** with no fade, and a fee-income engine treated as structural just as the Platinum \$695→\$895 renewals flow through with churn not yet observable. The rebuilt 10-year scenario DCF — on per-share total shareholder distributions, with a genuine earnings trough in the bear (–40% in 2027) — yields **bear \$77.36 / base \$260.55 / bull \$410.48 → \$252.23 weighted**. Even the base case sits **14% below** the \$302.78 quote. This is a Medium-risk call — the call is not that credit is breaking; it is that normalization is unpriced.

Market cap	~\$204.5 bn	Shares out. (dil.)	~675.3 m
52-week range	\$290.97 – \$387.49	CET1 ratio	10.5% (12/31/25)
2025 rev. / net inc.	\$72.2 bn / \$10.8 bn	2025 ROE / ROA	33.9% / 3.7%
Forward P/E (cons.)	17.1x (FY2026E)	Dividend yield	1.26% (\$3.80 ann.)

Price as of October 2, 2026 (Yahoo Finance). No stock split in 2024–2026 — all per-share figures are as reported. Financial figures from the FY2025 10-K (filed 2/6/2026) and the Q2 2026 10-Q (filed 7/24/2026); estimates from Zacks/Barchart consensus (viewed 10/2/2026). This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

The economics are spend, not lend — and that is the whole thesis. Discount revenue (\$37.4B, +6%) and net card fees (\$10.0B, +18%) are 66% of the top line; net interest income is 24%. When the cycle turns, Amex takes a provision hit like a bank, but it never has to fund a lend-centric balance sheet at bank multiples — yet the market prices it at 17x forward earnings next to Capital One at 8x.

The fee engine is compounding at double digits with 32 quarters of proof. Net card fees grew 18% in 2025 and 15% in Q2 2026 — the 32nd consecutive quarter of double-digit growth. Average fee per card rose from \$92 (2023) to \$117 (2025) to \$131 (Q2 2026): the September 2025 Platinum refresh (\$695 →

\$895) and the 2024 Gold refresh (\$250 → \$325) are repricing the installed base, not just acquiring new cards.

Credit quality is the best in the industry and the underwriting is the moat. Net write-offs 2.0% (principal only, consumer + small business) and 30-day delinquency 1.3% — roughly half the levels of mass-market card issuers — because the closed loop sees the spend before the loan. Provisions fell 23% in Q2 2026 on a reserve release.

Growth is led by the cohorts that matter. Billed business grew 9% FX-adjusted in Q2 2026 (fastest in three years) with T&E; spend +10%; Millennials and Gen Z are 60%+ of new accounts and the fastest-growing spend cohort. International billed business grew 14% in 2025. FY2026 revenue guidance was raised to 10% in July while EPS guidance (\$17.30–\$17.90) was held — the outperformance is being reinvested, a positive signal, not a miss.

Valuation is the problem, not the business. The hardened 10-year scenario DCF — on per-share total shareholder distributions (dividends + buybacks), the right cash flow for a lender — is worth bear \$77.36 / base \$260.55 / bull \$410.48, weighted \$252.23 versus the \$302.78 quote. Even the base case — 8.6% EPS CAGR, 68% payout, 10% discount — sits 14% below the price. The reverse math confirms it: the quote prices ~10.8% ten-year EPS growth, above our base and closer to the bull. At 17.1x forward earnings, this is a full multiple on peak-cycle numbers.

The bear case is a real credit cycle, and it is worth \$77.36. The old note's 'bear' (6% EPS CAGR, zero down years) wasn't a recession. The rebuilt bear contains an actual earnings trough — net income –40% in 2027, –5% in 2028, buybacks suspended (the 2020 playbook, when provisions tripled and EPS fell 53%). Affluent spend is resilient but not immune; 34% ROEs do not survive downturns intact. This is a quality compounder to own at the right price — \$302 is not the right price.

2. Business model & segments: the closed loop

American Express (New York; CEO Stephen Squeri; founded 1850) operates the only scaled **closed-loop** payments network: it is the issuer, the acquirer, and the network on its proprietary cards. Visa and Mastercard run open-loop networks — they move the transaction but never touch the credit risk or the merchant relationship. The closed loop gives Amex three structural advantages: (1) it **sees the full spend profile** of every Card Member, which is why its underwriting produces half the loss rates of open-loop issuers; (2) it **keeps the full merchant discount** instead of splitting it with an issuing bank; and (3) it **sets its own acceptance economics**, which is why discount revenue as a share of billed business (2.24% in 2025 — the 10-K's successor to the old 'average discount rate') is a company-level strategic choice, not a regulated interchange schedule.

The revenue model is **spend-centric, not lend-centric**. Of 2025's \$72.2B in total revenues net of interest expense: **discount revenue \$37.4B (52%)** — the fee retained from merchants on billed business; **net card fees \$10.0B (14%)** — annual membership fees; **service fees and other \$7.5B (10%)**; and **net interest income \$17.4B (24%)** — the lending leg, grown from card balances and the deposit franchise (\$152B of customer deposits fund the loan book). Two-thirds of revenue rises with *spend*; only one-quarter requires taking credit risk.

Four reportable segments (FY2025, \$M):

Segment	2025 revenue (net of int. exp.)	Mix	2025 pretax segment income	YoY revenue
U.S. Consumer Services (USCS)	\$34,814	48%	\$6,810	+11%
Commercial Services (CS)	\$16,926	23%	\$3,668	+7%
International Card Services (ICS)	\$13,000	18%	\$1,603	+13%
Global Merchant & Network Services (GMNS)	\$7,759	11%	\$3,968	+4%

Figure 1 — Segment results. Revenue sums to \$72,499M vs consolidated \$72,229M; the \$270M difference is Corporate & Other. GMNS pretax fell 10% in 2025 on higher network-partner incentives. Source: FY2025 10-K (filed 2/6/2026), Tables 8–14.

The segment read-through: **USCS** is the premium-consumer flywheel — 11% revenue growth on 8% billed-business growth, with Millennial/Gen-Z momentum. **CS** is small-business and corporate T&E; (billed business +3% in 2025, modest but stable). **ICS** is the fastest grower (+13% revenue, +14% billed business) — international acceptance expansion is working. **GMNS** monetizes the network itself (merchant acquiring, network services); its 4% growth and falling pretax income is the cost of buying acceptance — the right trade, since acceptance is what lets the discount rate stay premium.

3. Products & two-sided pricing

Amex prices **both sides** of its network. Cardholders pay premium annual fees; merchants pay a premium discount rate. Both premiums are defended by the same asset: high-spend Card Members. The 2024–2025 refresh cycle repriced the flagship products upward — and the market absorbed it (record card-fee income, 3.0M proprietary new cards in Q2 2026).

Consumer portfolio (verified September 2026).

Card	Annual fee	Target	Value proposition
Platinum Card	\$895	Affluent travelers	5X flights/prepaid hotels; Centurion + Priority Pass + 10 Delta Sky Club visits; ~\$3,100 stated credits (\$600 hotel / \$400 Resy / \$300 lululemon / \$300 streaming / \$209 CLEAR+ / \$200 Oura / \$120 Uber One)
Gold Card	\$325	Diners / foodies	4X restaurants & US supermarkets (caps); ~\$424 stated credits (\$120 dining / \$120 Uber Cash / \$100 Resy / \$84 Dunkin')
Green (Classic)	\$150	Young travelers	3X dining, travel, transit; \$219 CLEAR+ credit; \$100 LoungeBuddy
Blue Cash Preferred	\$95	Families	6% US supermarkets (to \$6K/yr) & streaming; 3% gas/transit
Blue Cash Everyday	\$0	Mass market	3% supermarkets/gas/online retail (caps); Disney+/Home Chef credits

Figure 2 — Consumer lineup. Platinum refreshed 9/18/2025 (\$695 → \$895, the first hike since 2021; Amex called it the largest-ever card refresh investment); Gold refreshed 7/2024 (\$250 → \$325). Sources: issuer pages; milesopedia/upgradedpoints (verified 9/30/2026).

Business & corporate: **Business Platinum \$895** (refreshed 9/2025 alongside consumer), **Business Gold \$375** (4X on top-two of six business categories; \$240 flexible business credit + \$300 ChatGPT Business credit + \$155 Walmart+). Corporate Green/Gold/Platinum cards are employer-negotiated programs (per-company pricing, unpublished). Co-brand flagships: **Delta SkyMiles** (partnership extended through 2029; Delta paid Amex **\$8.2B in 2025**, +11%, targeting \$10B — the single largest partnership line), **Marriott Bonvoy Brilliant \$650**, and the **Schwab Platinum** (1.1¢/point cash-out up to 1M points/yr). Dining platforms: Resy (2019) + Tock (\$400M, 2024, merged into Resy summer 2026) + **TheFork (\$700M from Tripadvisor, announced June 2026, pending)** — the restaurant-acquiring flywheel behind the Resy credits.

Cardholder-side pricing.

APRs are variable Prime-linked **ranges**, not fixed rates: Blue Cash 19.74–28.74%, business cards 17.99–28.74%. **Foreign transaction fees are 2.7%** on mass-market cards (Blue Cash, EveryDay) and **0% on premium cards** — the FX fee is itself a segmentation tool. Late fee up to \$40 (\$29 first). Plan It installments carry a fixed monthly plan fee (up to 1.33%) disclosed upfront. The CFPB's \$8 late-fee cap was vacated by a Texas federal court in April 2025 (the CFPB joined the motion); a September 2026 RFI reopened the issue — regulatory risk alive, not binding.

Merchant-side pricing.

The **discount revenue as a share of billed business was 2.24% in 2025** (2.27% in 2024, 2.29% in 2023) — drifting down as OptBlue small-merchant volume and large-merchant negotiated rates mix in. For context, effective in-person acceptance cost runs ~2.17% for Visa/Mastercard and ~2.59% for Amex on interchange-plus schedules (Motley Fool/Helcim 2026): the Amex premium is ~15–40 bps, narrowing. **OptBlue** lets sub-\$3M/yr merchants

(threshold raised from \$1M in April 2026) process Amex through their regular processor at tiered wholesale rates (e.g., retail <\$75: 2.00%+\$0.18; <\$1,000: 2.35%+\$0.18). The Credit Card Competition Act was reintroduced in January 2026 (Trump-endorsed) but remains unenacted — and Amex's closed-loop, three-party network sits largely outside its routing-mandate scope.

Competitive pricing: the coupon-book equilibrium.

Card	Annual fee	Headline credits / earn	Read-across
Amex Platinum	\$895	~\$3,100 stated credits; 5X flights	Highest-fee mainstream card; fee +\$200 (9/2025)
Chase Sapphire Reserve	\$795	\$300 travel + \$500 Edit hotels + \$300 StubHub + Apple subs; 8X Chase Travel	Refreshed 6/2025 (\$550 → \$795, +45%); Chase Travel point value devalued 1.5¢ → variable
Citi Strata Elite	\$595	\$300 hotel / \$200 Splurge / \$200 Blacklane; 4 Admirals Club passes	Launched 7/2025; replaces closed-to-new Prestige
Capital One Venture X	\$395	\$300 travel credit + 10K anniversary miles; 2X flat	The value disruptor; fee unchanged
Amex Gold	\$325	~\$424 stated credits; 4X dining/grocery	Mid-tier anchor vs Sapphire Preferred \$95

Figure 3 — Premium-card pricing. The industry has converged on 'high fee offset by a coupon book.' Sources: issuer pages; frequentmiler/upgradedpoints/herdwallet (verified 9/30/2026).

Is the premium justified? **On the cardholder side, conditionally yes** — but only for utilizers. At face value the Platinum's ~\$3,100 credit stack dwarfs the \$895 fee; independent valuations haircut the credits 40–60% for breakage and enrollment friction (uscreditcardguide), which still leaves a frequent traveler net-positive while a light user subsidizes the franchise. That self-selection is the point: heavy utilizers are heavy spenders, and heavy spenders fund the discount revenue. **On the merchant side, the premium is narrowing but defensible** — acceptance is at parity with Visa/MC in the U.S. (~9M vs ~10M locations), and OptBlue moved the marginal merchant's decision from 'Amex costs 3.5%' to 'Amex costs about the same.' The residual ~20–40 bps premium is the price of access to the highest-spending card base in the industry — and merchants keep paying it, which is the only test that matters.

4. Financial review: growth with fortress credit

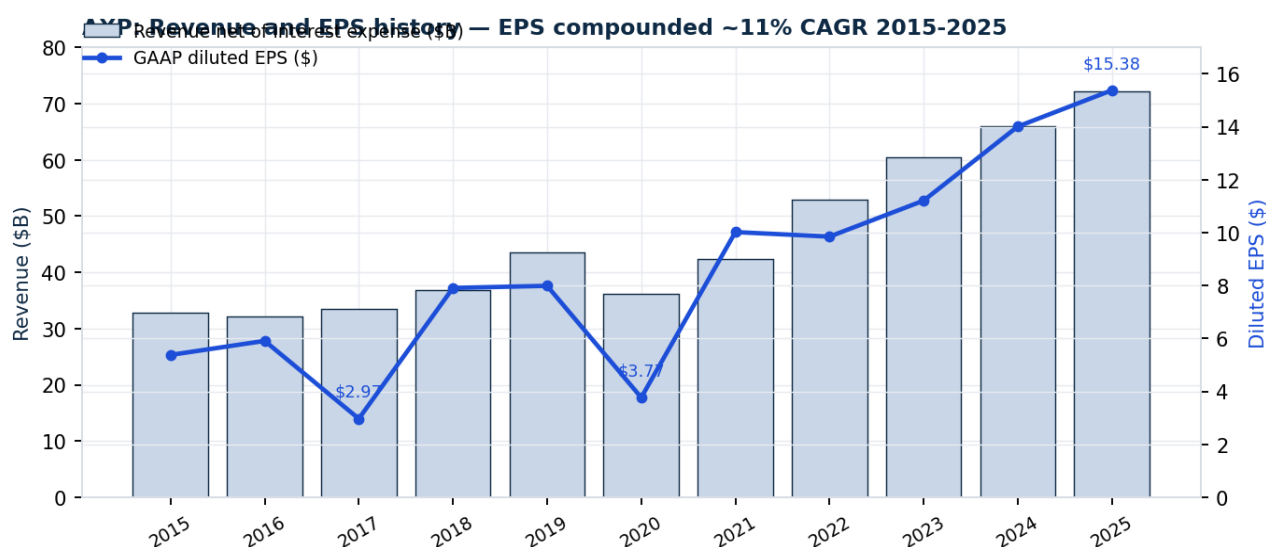


Figure 4 — Revenue net of interest expense and GAAP diluted EPS, 2015–2025. 2017 EPS reflects the Tax Act charge; 2020 reflects COVID. Sources: company 10-K filings (2015–2021 per 10-K selected financial data), yfinance/10-K (2022–2025).

Revenue has compounded from \$36.1B (2020) to \$72.2B (2025) — a 15% five-year CAGR — while diluted EPS grew from \$3.77 to \$15.38 (32% CAGR, flattered by the COVID trough and ~\$3B/yr of buybacks). The cleaner read: 2019–2025 EPS CAGR of 11.5% (\$7.99 → \$15.38), achieved *with* a 2020 collapse in the middle. That is the compounding record the valuation leans on.

Year	Revenue (net of int. exp., \$B)	Discount revenue (\$B)	Net card fees (\$B)	Net interest income (\$B)	Net income (\$B)	Diluted EPS	ROE
FY2021	42.38	25.9*	5.8*	7.8*	8.06	\$10.02	30.7%
FY2022	52.86	30.8*	6.6*	9.9*	7.51	\$9.85	30.0%
FY2023	60.52	33.42	7.26	13.13	8.37	\$11.21	31.5%
FY2024	65.95	35.19	8.45	15.54	10.13	\$14.01	34.6%
FY2025	72.23	37.40	9.99	17.36	10.83	\$15.38	33.9%
FY2026E (consensus)	~79.5	—	—	—	—	\$17.68	—

Figure 5 — Annual financials. *2021–2022 component splits estimated from MD&A; growth rates; 2023–2025 from 10-K Table 2. FY2026E: Zacks/Barchart consensus (viewed 9/30/2026).

Revenue mix is shifting toward fees: discount revenue grew 6% in 2025 on 8% billed-business growth (the discount *rate* compressed 3 bps — mix, not pricing power loss); net card fees grew 18%; net interest income grew 12% on balance growth and net-yield expansion (8.1% net interest yield, +20 bps). Pretax margin is ~19%. Excluding the 2024 Accertify-sale gain, FY2025 EPS grew 15% (\$15.38 vs \$13.35). The dividend was raised ~16% to \$0.95/quarter in Q1 2026 (\$3.80 annualized, 21.5% payout); buybacks were \$5.3B in 2025 (16.8M shares @ \$312.87 — ~70% of total capital return) and diluted shares fell 3% YoY in Q2 2026 — the EPS CAGR is part buyback engineering, disclosed openly.

Q2 2026: acceleration, reinvested.

Q2 revenue +10% to \$19.64B (a touch below the \$19.69B consensus), EPS +11% to \$4.53 (beat vs ~\$4.40), billed business +9% FX-adjusted (\$455.8B — the fastest in three years), network volumes +9% to \$516.8B, net card fees +15% to a record \$2.9B, net interest income +11%, T&E; spend +10%. Expenses rose 12% on Platinum-refresh and engagement costs; provisions fell 23% to \$1.1B on a reserve release, and the effective tax rate rose to 23.6% (vs 18.7% on a prior-year discrete benefit). Management **raised FY2026 revenue guidance to 10%** and held EPS guidance at \$17.30–\$17.90 — explicitly reinvesting the outperformance in acquisition and technology. The market sold the print (-1.4% premarket): it read reinvestment as a margin signal. We read it as a growth signal. Q3 results are scheduled for **October 23, 2026**.

Credit and capital: best in class, honestly cyclical.

Metric	FY2023	FY2024	FY2025	Q2 2026
Net write-off rate — principal only (consumer + SMB)	1.8%	2.0%	2.0%	2.0%
Net write-off rate — principal, interest & fees	2.0%	2.3%	2.3%	2.2%
30+ days past due (consumer + SMB)	1.3%	1.3%	1.3%	1.2%
90+ days past billing (corporate)	—	0.4%	0.4%	0.4%
CET1 ratio	10.5%	10.5%	10.5%	10.4%
Return on average equity	31.5%	34.6%	33.9%	36.4%*

Figure 6 — Credit and capital. *Q2 2026 ROAE is the quarterly figure. Sources: FY2025 10-K Table 1; Q2 2026 10-Q (filed 7/24/2026).

Three observations. **First**, the loss rates are roughly half of mass-market issuers' — the closed-loop underwriting advantage is in the numbers, not the marketing. **Second**, CET1 has sat at 10.5% for three straight year-ends — dead-center of the 10–11% target range — while returning \$7.6B in 2025 (\$5.3B buybacks + \$2.3B dividends): the

capital return is funded by earnings, not by thinning the buffer. **Third**, the honesty clause: these are mid-cycle numbers. In 2020, provisions tripled and EPS fell 53%. The 34% ROE is a peak-cycle print; our bear case assumes it does not survive a recession.

Corporate actions 2025–2026: Amex closed the Center expense-management acquisition in 2025, bought out its Swisscard JV partner (January 2026, now consolidated in International Card Services), and announced the pending TheFork restaurant-platform acquisition. There is no standing dollar buyback authorization — distributions run through the Fed capital plan (stress capital buffer confirmed at 2.5% in August 2025).

5. Growth drivers & moat

Growth drivers, ranked by durability:

Millennial/Gen-Z acquisition (structural). 60%+ of new accounts, the fastest-growing spend cohort, 12.5M proprietary new cards in 2025. The premium franchise is aging *down*, not up — the demographic pipeline for the next decade of fee income.

The fee-repricing cycle (medium-term). Platinum \$695→\$895 (9/2025) and Gold \$250→\$325 (7/2024) are still flowing through renewals; average fee per card rose 14% in 2025 and 12% in H1 2026. Net card fees have 32 straight quarters of double-digit growth — the most underappreciated compounding line in large-cap financials.

International acceptance and billed business (structural). ICS revenue +13% in 2025 on +14% billed business; international is 18% of revenue with acceptance still expanding. Every point of international billed-business growth carries the 2.2%+ discount rate.

Small business and corporate T&E; (cyclical). CS billed business +3% in 2025 — modest; the operating leverage here is to a corporate-travel recovery, not current strength.

Partnerships and dining (flywheel). Delta \$8.2B remuneration (+11%, targeting \$10B); Resy/Tock/TheFork build the restaurant acquiring + dining-credit loop; Schwab/Morgan Stanley Platinum variants monetize the cash-out channel.

Net interest income (rate-sensitive). \$17.4B (+12%) on balance growth and 8.1% net yield, funded by \$152B of deposits. A Fed easing cycle would compress yields but also cut credit costs — historically a net neutral-to-positive for Amex.

Headwinds: **regulatory** (CCCA reintroduced Jan 2026, Trump-endorsed but unenacted; CFPB late-fee RFI reopened Sept 2026; EU-style interchange caps remain the long-tail template); **competitive** (Chase and Citi repriced upward into Amex's fee tier — the premium is now contested, not owned); **cyclical** (affluent spend led the last three recoveries and would lead the next drawdown).

The moat has four planks:

Closed-loop data. Seeing the spend before the loan is why loss rates are half the industry's. Open-loop issuers cannot replicate this without becoming Amex.

The affluent customer base. High-spend Card Members are the asset both sides pay for — cardholders in fees, merchants in the discount premium. Acquiring this demographic profitably is the industry's hardest problem; Amex inherits it.

Rewards-ecosystem stickiness. Membership Rewards transfer partners, lounge access, and status create switching costs that compound with tenure. The coupon-book refreshes deepen, not dilute, this — utilizers get stickier.

Corporate distribution. Employer-negotiated corporate card programs are B2B relationships with multi-year contracts — the most defensible acquisition channel in cards.

Durability grade: **wide, but cyclical**. The moat protects the *franchise* (share, pricing, loss rates) through cycles; it does not protect *earnings* from them.

6. Competition: the premium is now contested

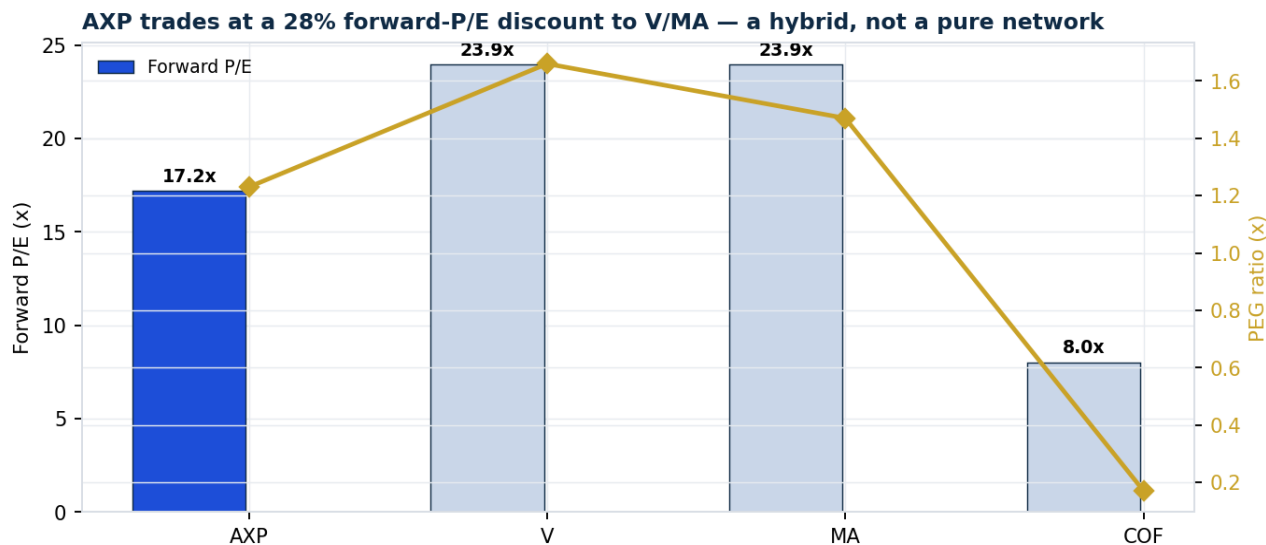


Figure 7 — Forward P/E and PEG vs listed peers, September 30, 2026 (Yahoo Finance). DFS delisted May 2025 on the Capital One acquisition.

Visa / Mastercard (open-loop networks). The structural comparison: ~24x forward earnings, 60%+ ROEs, zero credit risk, pure toll-booth economics. Amex at 17.2x is a 28% discount — the market's price for taking credit risk and funding a loan book. The discount is fair; the question is whether 28% is too much for a company whose loss rates are half the industry's and whose revenue is two-thirds fee-based. We think it is slightly too much, which is the relative leg of the BUY.

Capital One (now with Discover). The May 2025 close of the Discover acquisition created the largest U.S. card lender with its own network — the first credible closed-loop challenger. COF trades at 8x forward earnings with a 9% ROE: the market prices it as a subprime-tilted lender. The strategic risk to Amex is not the multiple — it is a combined COF/Discover pushing premium products (Venture X at \$395 keeps undercutting) and building merchant acceptance that erodes Amex's network differentiation over a decade. Watch, don't fear.

JPMorgan Chase / Citi (issuer competition). Chase repriced Sapphire Reserve to \$795 (June 2025) and Citi launched Strata Elite at \$595 (July 2025) — both now compete in Amex's fee tier with comparable coupon books. The premium-card market is no longer Amex's uncontested high ground; it is a four-way contest for the affluent wallet. Amex's defense is the closed loop (better underwriting, the lounge network, MR transfer partners) — but the days of raising fees without a competitive response are over.

Fintech (Affirm/Klarna BNPL, Apple). BNPL unbundles the revolve function Amex monetizes via Plan It/Pay Over Time; Apple (Wallet, Pay Later, savings) owns the device layer. Neither threatens the affluent charge-card core today, but both attack the marginal transaction — the risk is death by a thousand swipes at the mass-market edge, which is why Amex's demographic move downmarket (Gen Z) matters strategically.

7. Valuation (hardened v2): the old \$335 rested on a bear that wasn't a recession

Amex is a financial: we value **distributions to shareholders** (dividends + net buybacks) — the correct cash flow to equity for a lender. The September 30 note's \$335 target rested on three optimism leaks the rebuild was designed to catch: **(A1)** the 'bear case' ran 6% EPS CAGR with zero down years — not a recession, while 2020 showed EPS can fall 53% in one year as provisions triple; **(A2)** the base case anchored 10% EPS CAGR to management guidance and near-term consensus with no fade, carrying peak-cycle 34% ROE to year 10; **(A3)** the premium-fee arms race was treated as structural (32 straight quarters of double-digit card-fee growth) just as the Platinum \$695→\$895 renewals flow through with churn not yet observable, while Chase and Citi now contest the tier. The rebuilt instrument: a **10-year scenario DCF on per-share total shareholder distributions**, discounts

bear 12.5% / base 10% / bull 8.5%, terminal growth 1.75% / 2.5% / 2.5%, weights 25/50/25, off the FY2026E consensus EPS anchor of \$17.68 with a 68% total payout. Terminal value is 44–65% of EV in all scenarios — under the 70% cap, no haircuts needed.

Model A — Hardened scenario distribution DCF.

Scenario	10-yr EPS CAGR	Earnings path	Discount / terminal g	Fair value
Bear — recession; provisions spike; buybacks suspended 2027–28	1.1%	2027 –40%, 2028 –5%, +30% snapback	12.5% / 1.75%	\$77.36
Base — spend model compounds; fee growth fades; margins drift	8.6%	11% → 7% fade; pretax margin 19% → 17.5%	10.0% / 2.50%	\$260.55
Bull — affluent share gains + international acceptance carry it	11.4%	13% → 10% fade; realized 2019–25 rate extended	8.5% / 2.50%	\$410.48

Figure 8 — Hardened v2 scenario summary. Probability-weighted fair value: **\$252.23**. Note the base-case 8.6% CAGR sits below both the 2019–2025 realized EPS CAGR (11.5%) and the FY2025–2027 consensus (~14.5%) — the fade is now explicit, not assumed away. The bear sits 74% below the price: the bear-hurts discipline check passes.

Read the table honestly: **even the base case (\$260.55) sits 14% below the quote**, and the base case is already generous — it keeps the 68% payout flowing every year and fades EPS growth only to 7%, not to stagnation. The price demands ~10.8% ten-year EPS growth (our reverse-DCF read, below), which is above the base and nearly at the bull. The old note's Model B — the \$401 distribution cross-check — was exactly the kind of hot-terminal artifact the rebuild targets: when distribution growth approaches the discount rate, the terminal dominates and the model flatters. It is retired.

Model B — Relative forward P/E (disclosed cross-check).

Visa/Mastercard at ~24x forward earnings are the asset-light ceiling; Capital One at 8x is the lend-centric floor. At **17.1x FY2026E consensus EPS (\$17.68)**, Amex sits at a 28% discount to the pure networks — fair for taking credit risk. But the relative lens is what it is: a measure of what the market *pays* for this asset at peak cycle, not what the cash flows are *worth*. On the hardened distribution DCF, 17.1x forward earnings is a full multiple — the market pays it happily until credit normalizes. Under the hardened methodology the relative read is disclosed context, not a target anchor.

Model C — Reverse: what EPS growth is priced in?

Solving the distribution-DCF framework for the constant EPS CAGR that equates to the \$302.78 quote (10% discount, 2.5% terminal): **~10.8% ten-year EPS CAGR**. The market is pricing *above* our 8.6% base case and close to our 11.4% bull — the realized 2019–2025 rate extended, with no fade and no credit cycle, for a decade. That gap — priced-in perfection against a reinvesting compounder facing a contested fee tier — is the core of the downgrade.

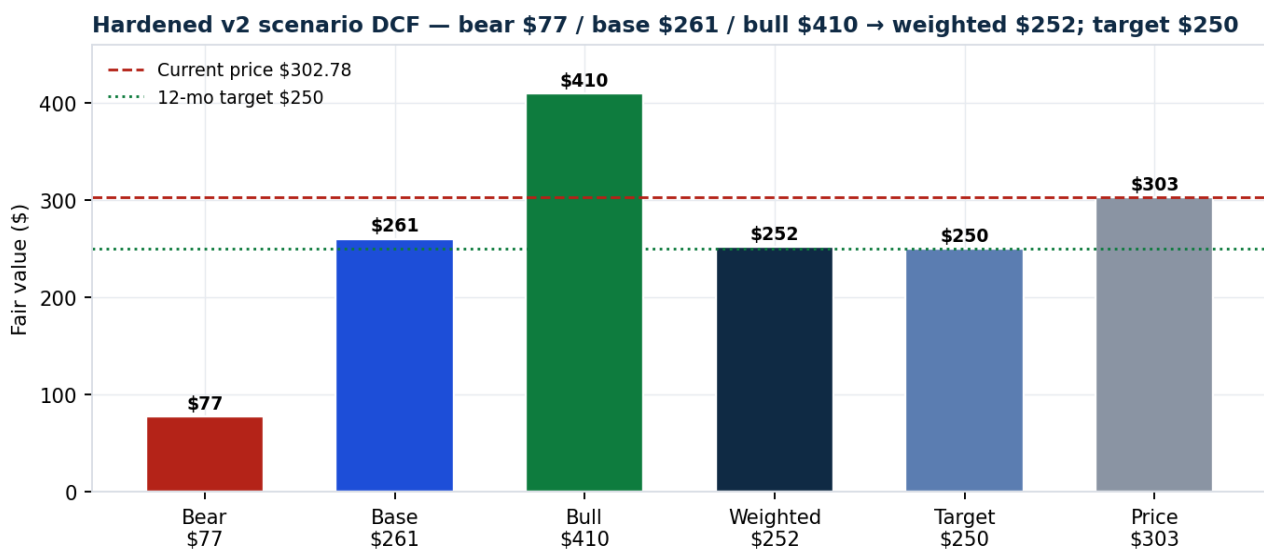


Figure 9 — Hardened v2 valuation. The three scenarios are the distribution DCF; the weighted \$252.23 rounds to the \$250 target.

Target: \$250. The weighted distribution DCF (\$252.23, rounded), implying **–17.4%** vs the \$302.78 close.

Robustness check (per the hardened report): at a 9.5% base discount the weighted value is ~\$262 — still –13% below price. The verdict does not depend on the rate tier; it depends on the bear genuinely hurting and the terminal staying capped. The Street's ~\$374 average is capitalizing the old terminal math — we are ~33% below the Street, and the gap is methodology, not sentiment.

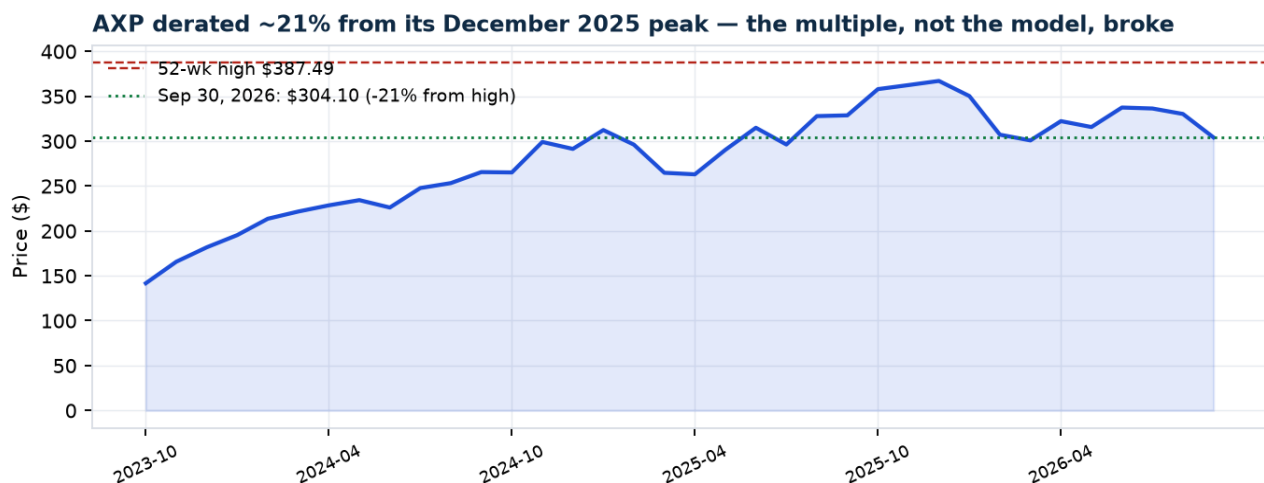


Figure 10 — AXP monthly closes, Oct 2023–Sep 2026 (Yahoo Finance, adjusted). The stock derated ~21% from its December 2025 peak on macro fear — then re-rated on earnings, back above our fair value. The multiple broke; the model held; the price overshoot.

8. Risks — and the honest bear case

The credit cycle (the bear case: \$77.36). 2.0% write-offs and 1.3% delinquency are mid-cycle prints. In a genuine recession — our rebuilt bear — net income falls 40% in 2027 and 5% in 2028 (2020 was –53% as provisions tripled), buybacks are suspended per the Fed capital plan, and the equity is worth \$77.36 — 74% below today's price. Affluent spend is resilient, not immune: T&E; was the first line cut in 2020 and the last to recover. This is the risk the price ignores.

Premium-tier competition. Chase (\$795) and Citi (\$595) now contest the fee tier Amex created. If the coupon-book arms race forces Amex to over-invest in benefits (expenses +12% in Q2 already), the fee income compounds but the margin doesn't — and the base case's 8.6% EPS CAGR fades faster.

Discount-rate and regulatory pressure. Discount revenue as a share of billed business has drifted 2.29% → 2.24% in two years. The CCCA (reintroduced Jan 2026, Trump-endorsed) is unenacted and largely out of scope for the closed loop — but EU-style interchange caps remain the long-tail template, and any

U.S. move toward capped credit interchange would strike at the 52% revenue leg.

Concentration in affluent discretionary spend. T&E; +10% in Q2 is strength today and cyclicity tomorrow. A white-collar slowdown hits billed business before it hits mass-market card volumes.

Capital One/Discover as a closed-loop challenger. The first scaled competitor with issuer + network under one roof. The threat is a decade-long erosion of network differentiation, not a quarterly share loss.

Execution on reinvestment. Management held EPS guidance while raising revenue guidance — the right long-term call, but it defers gratification. If the acquisition/tech spend doesn't convert to billed-business growth by mid-2027, the market will reprice the growth story — and our base case's fade steepens.

Valuation sensitivity. At \$302.78 the shares price ~10.8% ten-year EPS growth. If growth fades to our 8.6% base, the fair value is \$260.55; if the cycle turns, \$77.36. The downside is wide and the upside is the bull (\$410) — asymmetric the wrong way at this price.

9. Recommendation

REDUCE, \$250 twelve-month target (-17.4%). American Express is the highest-quality franchise in consumer finance: a closed-loop network monetizing affluent spend at a 34% ROE, with the industry's best credit metrics, 32 straight quarters of double-digit card-fee growth, and a demographic pipeline (60%+ of new accounts Millennial/Gen Z) that extends the compounding runway. The business is as good as we said on September 30 — the *model* was the problem. The old \$335 target rested on a bear case that wasn't a recession, a base case that carried peak-cycle ROE to year 10, and a fee engine treated as structural just as the competitive tier got crowded. Rebuilt honestly, the equity is worth **\$252.23** against a \$302.78 quote — even the base case is 14% below the price. This is a valuation downgrade, full stop.

Catalysts: **Q3 earnings on October 23, 2026** (consensus ~\$4.55); the Platinum-refresh renewal cycle flowing through card fees into 2027 — watch churn, not just fee income; any Fed easing that cuts funding costs; continued reserve releases if credit stays benign. The position to take is a **reduced core holding**: trim into strength, and add back toward \$250–260, where the base case rebuilds a margin of safety. Do not add above \$300 — at that price you are underwriting the bull case as the expected outcome.

What would change our mind: **to HOLD/BUY**, either the price — a pullback toward \$250 rebuilds the risk/reward — or the fundamentals: 30-day delinquency holding at ~1.3% through 2027 with net card-fee growth still double-digit and billed business compounding 9–10% would validate the base case's fade and narrow the gap; if fee income compounds through the Platinum renewals without churn, our A3 skepticism was wrong and we will say so. **To SELL**, a consumer-credit turn: delinquency breaking above 1.6%, provisions rebuilding, the affluent-spend engine stalling — the bear (\$77.36) becomes the conversation.

Appendix A — Methodology and key assumptions (hardened v2)

Hardened scenario distribution DCF. Ten explicit years of per-share total shareholder distributions (dividends + net buybacks) — the correct cash flow to equity for a lender. EPS paths off the FY2026E consensus anchor (\$17.68): bear 1.1% / base 8.6% / bull 11.4% 10-yr EPS CAGRs (explicit annual paths, not smooth exponentials). Bear: net income -40% in 2027, -5% in 2028, +30% snapback in 2029 — dividends maintained (~\$3.95–\$4.05), buybacks \$0 in 2027–28, 60% payout from 2029. Base/bull: constant 68% total payout of EPS (2025's 70% calibrated). Discount rates bear 12.5% / base 10.0% / bull 8.5% (rf ~4.2% + 1.05 beta × ~5.5% ERP — 10% base, not 9%, for credit-cycle exposure). Terminal growth 1.75% / 2.5% / 2.5% on year-10 distributions. Terminal value is 44.5% / 55.4% / 65.1% of EV — under the 70% cap, no haircuts. Weights 25/50/25 → \$252.23. Target \$250.

Robustness. At a 9.5% base discount the weighted value is ~\$262 — still -13% below price. The verdict survives the rate tier; it rests on the bear genuinely hurting and the terminal staying capped.

Relative P/E (secondary). 17.1x FY2026E consensus EPS (\$17.68) as of 10/2/2026 (Yahoo Finance). Visa/Mastercard ~24x, Capital One ~8x. DFS excluded — delisted May 2025 on the Capital One acquisition. Disclosed as context under hardened methodology; does not anchor the target.

Reverse. Binary search on a constant 10-year EPS CAGR equating the distribution-DCF equity value to the \$302.78 quote, holding 10% discount and 2.5% terminal fixed → ~10.8%.

What we did not do. No sum-of-the-parts (the closed loop shares customers, data, and funding across segments); no Monte Carlo; no technical analysis. Book value is not a useful anchor (P/B ~6x on a 34% ROE franchise). The old \$401 distribution cross-check was retired — its hot terminal was an optimism leak.

Limitations. The DCF is sensitive to the discount rate ($\pm$ \$10–15 per 50bp on the base) and the bear's trough depth. FY2026E consensus (\$17.68) is a mean of estimates and will move. Quarterly provisions are lumpy; we anchor on through-cycle loss rates and an explicit recession path.

Appendix B — Data-trap verification

Ticker mapping: AXP = American Express Company (Yahoo shortName/longName verified 9/30/2026). Not to be confused with any similarly named entity.

Corporate actions: no stock split or reverse split in 2024–2026; per-share figures are as reported. (AXP's last split was 1998.)

Revenue definition: 'Total revenues net of interest expense' is Amex's GAAP top line (\$72.229B FY2025); gross interest income was \$25.6B. All margins and yields use the net figure unless stated.

EPS: GAAP diluted EPS attributable to common shareholders (\$15.38 FY2025). Adjusted EPS differs only by small restructuring items; we use GAAP throughout.

Discount revenue vs discount rate: the 10-K's 'discount revenue as a % of billed business' (2.24%) is a company metric, not a regulated interchange schedule.

Peer multiples: Mastercard's 241% ROE reflects negative-tangible-equity capital structure, not operating superiority; P/E is the cleaner comp.

Appendix C — Disclosures

This note is an independent research-style analysis prepared for informational purposes. It is not investment advice, not a recommendation to buy or sell any security, and not a personal financial plan. All forward-looking statements — scenarios, targets, and projections — are estimates subject to uncertainty; actual results may differ materially. Valuation models rely on the assumptions disclosed above. The author may hold positions in securities mentioned. Past performance does not predict future results. Financial data: American Express 10-K/10-Q filings and earnings releases (SEC EDGAR); market data: Yahoo Finance; estimates: Zacks/Barchart consensus; card and pricing details: issuer pages and the outlets cited in the figure notes — all as of October 4, 2026. Verify all figures against primary sources before acting.